

DAVID & JUDITH DEAL LIVING TRUST



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ARTICLE ONE

DECLARATION OF TRUST ESTATE

Section 1.01 Parties

This Trust Agreement is made by **DAVID LAMAR DEAL** and **JUDITH MARTIN DEAL**, herein called the "Settlors," "we," "us," or "our," and **DAVID LAMAR DEAL** and **JUDITH MARTIN DEAL**, or his or her successor, herein called "Trustees" or "Trustee", as the context may require. In this Trust Agreement, **DAVID LAMAR DEAL** and **JUDITH MARTIN DEAL**, when referred to in his or her fiduciary capacity, and each named, alternate or Successor Trustee, are referred to as the "Trustee" or "Trustees" accordingly.

Section 1.02 Purpose

We desire to establish this Revocable Trust (1) for purposes of avoiding probate, or estate administration, (2) to provide a vehicle to manage our assets, in the event of our incompetency, incapacity, or death, (3) to ensure all assets are incomplete gifts for federal gift tax purposes and included in our taxable estates, at death, and (4) to be treated as a qualified designated beneficiary as the term is defined under Code Section 401(a)(9) and applicable regulations.

Section 1.03 Identification of Trust

This Trust is revocable and we can alter, amend, revoke or terminate it as specifically provided for in Article Two. For purposes of transferring property to this Trust or identifying it in any beneficiary or pay-on-death designation it should be referred to as:

David & Judith Deal Living Trust

Any description that reasonably identifies this Trust shall be sufficient for the Trustee to act as to such property as required hereunder.

Section 1.04 Reservation of Administrative Authority

As permitted by La. R.S. 9:2021-46, the Settlers reserve the right to amend the administrative terms of the Trust Agreement upon conversion of the Trust from a revocable living trust to an irrevocable living trust. Particularly, Settlers, or the Surviving Settlor upon the death of either Settlor, reserves the right upon conversion to an irrevocable trust to amend or modify the following terms governing operation of the trust by the Trustee, namely to: (a) alter the administrative and investment powers of the Trustee, (b) reflect tax or other legal changes that affect trust administration, or (c) correct ambiguities, including scrivener errors, that might otherwise require court construction or reformation; provided however, the Trust may never be amended to permit the Trustee to make distributions of principal to the Settlers, or either of them, if not originally set forth in the Trust Agreement, or upon conversion to an irrevocable trust.



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Section 1.05 Transfer of Assets

In consideration of the covenants herein contained and other valid consideration, receipt and sufficiency of which is hereby acknowledged, we hereby transfer, assign and deliver to the Trustee, as and for the Trust Estate, the assets of the Settlers described in **Schedule A**, attached hereto and made a part hereof, which represents the community and separate property of Settlers. The Trustee accepts said property and agrees to hold, administer, and distribute it and any other property the Trustee hereinafter may acquire in trust for the purposes described above and upon the terms and conditions hereinafter set forth. The term "Trust Estate," when used in this Trust Agreement, shall be construed in a manner consistent with this Article.

The Settlers plan to deliver additional assets to the Trustee from time to time. These additional assets shall be held, administered and distributed pursuant to this Agreement. Assets initially contributed or subsequently added to this Trust during the joint lives of the Settlers shall retain its character as separate or community property, as the case may be. Accordingly, if any property constituting the separate property of either Settlor is transferred to the Trust, it shall remain the separate property of such Settlor.

The transfer of assets by either Settlor shall be held and administered as part of a separate trust for the benefit of such transferring Settlor. Such separate trusts shall consist of the following assets:

- A. One half (1/2) of all community property of the Settlers added to this Trust during the joint lives of the Settlers.
- B. All separate property of the transferring Settlor added to this Trust during the joint lives of the Settlers.

The Trustee shall maintain records and accounts appropriate to identifying such assets as separate or community property. Any property subsequently withdrawn from this Trust shall have the same character as community property or separate property which it would have had if it never had become part of this Trust.

Notwithstanding the Trusts being administered as separate Trusts, their assets may be commingled and treated as one fund for investment purposes. Such commingled investments shall be made in the name of **THE DAVID & JUDITH DEAL LIVING TRUST**. Third parties dealing with the trusts may pay over all funds to the Trustee as Trustee for **THE DAVID & JUDITH DEAL LIVING TRUST** without responsibility for, or requiring proof of, payment to the individual trusts.

Section 1.06 Composition of Trust

This Trust shall be comprised of all of the property described in schedules made part of this Trust Agreement, and any property that later becomes property of the Trust, all of which shall be administered, paid over, and delivered by the Trustee in accordance with the terms of this Trust Agreement.



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As used in the preceding sentence, the term "Property" includes, but is not limited to: (1) all insurance policies transferred to the Trustee or in which the Trustee is named as beneficiary and the proceeds of such policies, (2) any interest in any pension, retirement or death benefit, bonus, profit-sharing or employee savings plan, or any similar contract that has been created or entered into by an employer for the benefit of some or all employees and that is transferred to or received by the Trustee or in which the Trustee is named as beneficiary, and (3) all proceeds of any such benefit, bonus, plan, or contract.

Section 1.07 Subsequent Additions to the Trust

We, or any other person, may, at any time(s), either by inter vivos transfer or by Will, assign, set over, or give other and further property to the Trustee to be added to and become a part of the Trust Estate and be administered and disposed of in accordance with the provisions of this David & Judith Deal Living Trust. No such transfer, assignment, or gift, however, shall be effective unless and until the Trustee, in its sole discretion, shall accept in writing said addition.

Section 1.08 No New Tax Identification Number for the Trust

Pursuant to federal income tax law, this Trust qualifies as a "grantor trust" for income and estate tax purposes in accordance with Code Sections 671-678 and is not required to have a separate identification number. The identification number for the Trust is either of our social security numbers (see Code Regulation 1.671-3(a)(1)).

Section 1.09 Income Taxes Filed on Our Personal Form 1040

Pursuant to federal income tax law, we are treated as the owners of this Trust for tax reporting purposes because we have retained control of the assets transferred to the Trust (see Code Sections 674-677). Also, federal income tax law specifically states that a Trust income tax return should not be filed, and all income should be reported on our personal 1040 income tax return (see Code Regulations 1.671-4).

Section 1.10 Discharge of Liability to Third Party Dealing With Trust

A. Reliance on Affidavit or Certification of Trust

Any third party may rely upon an affidavit or certification of trust, signed by the Trustee, with respect to the representations contained in the affidavit or certification of trust. A third party relying upon an affidavit or certification of trust shall be exonerated from any liability for actions he or she takes or fails to take in reliance upon the representations contained in the affidavit or certification of trust. A third party dealing with the Trustee shall not be required to inquire into the terms of this Trust Agreement or the authority of the Trustee, or to see to the application that the Trustee makes of funds or other property received by the Trustee.



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B. Discharge of Third Persons

Any third party dealing in good faith with the Trustee shall not be required to see to the proper application of money paid or property delivered to the Trustee, or to inquire into the authority of the Trustee as to any transaction. The receipt from the Trustee for any money or property paid, transferred, or delivered to the Trustee shall be a sufficient discharge to the person(s) paying, transferring, or delivering the money or property from any liability in connection with its application.

Section 1.11 Scrivener's Errors

Should an error occur in spelling, reference to plurals, dates, or other errors not materially related to the structure or operation of this Trust, said errors may be corrected by us in a signed, notarized document at any time after this Trust Agreement has been executed, or as authorized elsewhere in this Trust Agreement.

Section 1.12 Our Family

We are Husband and Wife. We have two (2) living children, whose names are

<u>Name</u>	<u>DOB</u>
CHRISTOPHER DAVID DEAL	1/19/1971
MARCIE DEAL RAMSEY	11/13/1976

Any references to any child or children in this Trust Agreement are to those named above.

Section 1.13 Lifetime Trust

The "Lifetime Trust" in this Trust Agreement means any trust or sub-trust created under this Trust Agreement that is to be held by the Trustee for our benefit or the benefit of our beneficiaries during our lifetime.

Section 1.14 Administrative Trust

The "Administrative Trust" in this Trust Agreement means any trust or sub-trust created under this Trust Agreement that is to be held by the Trustee as a separate trust for trust administrative purposes and for the benefit of the Surviving Settlor after the death of the first Settlor to die.

Section 1.15 Residuary Trust

The "Residuary Trust" in this Trust Agreement means any trust or sub-trust created under this Trust Agreement that is to be held by the Trustee for the benefit of our beneficiaries after our deaths.



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Section 1.16 Our Beneficiaries

The beneficiaries of any Lifetime Trust, Specific Bequest, or Residuary Trust and the timing, manner and method of distributions are set forth specifically in the Articles that follow.

A. Reserved Right to Add or Remove Beneficiaries

Settlors hereby reserve in a non-fiduciary capacity the right to modify the provisions of the trust instrument in order to add or remove beneficiaries, or modify their rights, if all the affected beneficiaries are descendants of the Settlers to the extent authorized by La. R.S. 9:2031(A), as amended. As such, Settlers, acting jointly, in a non-fiduciary capacity, by a signed writing that is acknowledged before a notary public and two witnesses, effect an amendment which modifies the provisions of this trust to add or remove beneficiaries, or modifies their rights provided all affected beneficiaries are descendants of the Settlers.



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ARTICLE TWO THE LIFETIME TRUST

During our lifetimes the Trustee shall hold as a separate "Lifetime Trust" all assets contributed to this Trust by us or others as set forth in this Article.

Section 2.01 Our Powers of Revocation and Amendment

We, at any time during the term of this Trust, while living and competent, may revoke, amend, or modify this Trust in whole or part. Said election must be made in writing with our signature acknowledged and delivered to the Trustee. Upon exercise of said power of revocation, the Trustee shall pay to us the Trust Property over which the power has been exercised. Upon the receipt of our written amendment or modification, the Trustee shall operate this Trust in accordance with the modification requested.

Upon the death of the first Settlor to die, the surviving Settlor may continue to revoke, amend, or modify this Trust in whole or part. Said election must be made in writing with the signature of the surviving Settlor acknowledged and delivered to the Trustee. Upon exercise of said power of revocation, the Trustee shall pay to the surviving Settlor the Trust Property over which the power has been exercised. Upon the receipt of the surviving Settlor's written amendment or modification, the Trustee shall operate this Trust in accordance with the modification requested.

Section 2.02 Payment of Income

Unless we otherwise direct, so long as either of us is living, the Trustee shall pay to or apply for our benefit the entire net income of the Trust (after Trust expenses) in monthly or other convenient periodic installments (not less often than annually) as may be agreed to by us and the Trustee.

A. Capital Gains Income

The Trustee shall have complete discretion to distribute capital gain income to the income beneficiary or reinvest it into the Trust as principal. Any tax due on said capital gain income, however, shall be paid out of the capital gain proceeds and are not to be paid out of the investment income being distributed to us.

B. Payments to Third Parties

The Trustee shall have discretion to make distributions of income directly to third parties on our behalf. Any transfer by the Trustee of this Trust directly to a person other than us shall be treated as if transferred by the Trustee to us and then transferred by us to such other person. We intend that Code Section 2035(e) apply to all such transfers for all purposes of the estate and gift tax law, regardless of whether such section applies by its terms. Any distributions on behalf of the income beneficiary made to third parties in excess of the income of this Trust shall be deemed a principal distribution and shall be made in accordance with the provisions of this Trust.



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Section 2.03 Use of Property

A. Life Use

Unless we otherwise direct, so long as either of us is living, we shall have the right to use all Trust Property (movable or immovable, tangible or intangible, wheresoever located) in any manner we shall determine (life use).

B. Reservation of Usufruct

Desiring to retain the retain the homestead exemption of any residential immovable or real property utilized as a principal residence and/or vacation home donated to this Trust, Settlers retain the usufruct of such property transferred to the Trustee for this trust estate. This usufruct shall be a personal servitude in favor of only the Settlers and shall not be subject to transfer. Provided, however, the usufruct may be sold or donated to this trust by Settlers.

Upon the death of the first Settlor to die, the surviving Settlor shall continue to have the use of any immovable or real property used by either of us as a principal residence and/or vacation home. The Trustee shall have sole, absolute and unreviewable discretion to purchase a replacement home for the surviving Settlor, if the surviving Settlor wishes to relocate. If said replacement home is of a lesser value, the excess proceeds received shall be retained by our Trustee as part of the Trust Estate. If said replacement home is of a greater value, any additional amount may be paid for with other available Trust assets in the sole, absolute and unreviewable discretion of the Trustee.

It is the intention of Settlers to that the Trustee be treated as the owner of any residential immovable or real property or interest therein transferred to this Trust for income tax purposes as provided in Section 675 of the Internal Revenue Code of 1986, as amended.

Section 2.04 Our Right to Withdraw Principal

So long as either of us is living and able, the Trustee shall pay to or apply for our benefit those amounts of principal of the Trust as we (or the surviving Settlor upon the death of the first Settlor to die) may from time to time request in writing.

Section 2.05 Administration Upon Death of a Settlor

Upon the death of the first Settlor to die, the Trustee shall make Specific Bequests that are to be effective upon the death of either Settlor as provided below in this Article Two (if any), then continue to hold, administer, and distribute all remaining assets of the Lifetime Trust for the benefit of the surviving Settlor, subject to the provisions of Article Three, Trust Administration Upon a Settlor's Death. Upon the death of the surviving Settlor, the Trustee shall make all Specific Bequests not previously made as provided in Article Four (if any), and distribute the remaining Trust assets as provided in the Articles that follow.



ARTICLE THREE

TRUST ADMINISTRATION UPON A SETTLOR'S DEATH

Section 3.01 Administration of Deceased Settlor's Interest

Upon the death of either Settlor, the Trustee shall have the discretion to administer any assets remaining in the Lifetime Trust as set forth in this Article.

Section 3.02 Payment of Expenses, Claims, and Taxes

The Trustee is authorized, but not directed, to pay the following:

- A. expenses of our burial or cremation, memorials, and funeral services of such kind as the Trustee in its sole and absolute discretion shall approve. In exercising its discretion, the Trustee may be guided, but not controlled, by any instructions for our final arrangements we may have provided;
- B. expenses with regard to the administration of our estates; and
- C. federal estate tax, applicable state inheritance or estate taxes, or any other taxes occasioned by the death of us in accordance with the provisions of Section 7.03K.

The payments authorized under this Section are discretionary, and no claims or right to payment to third parties may be enforced against the Trust by virtue of such discretionary authority.

The Trustee shall be indemnified from the Trust Property for any damages sustained by the Trustee as a result of its exercising, in good faith, the authority granted under this Section.

The payments authorized under this Section shall be made only to the extent that the property in our probate estate, if any (other than real estate, tangible personal property, or property that, in the Trustee's judgment, is not readily marketable) is insufficient to make these payments.

Section 3.03 Redemption of Treasury Bonds

If the Trust holds United States Treasury Bonds which are eligible for redemption at par in payment of the federal estate tax, the Trustee may redeem such bonds to the extent necessary to pay federal estate tax as a result of a Settlor's death.

Section 3.04 Coordination with the Settlor's Independent Executor

This Section shall be utilized to help facilitate the coordination between the deceased Settlor's Independent Executor and the Trustee with respect to any of the property owned outside of this Trust at a Settlor's death.

The Trustee, in its sole and absolute discretion, may elect to pay the payments authorized under this Article either directly to the appropriate persons or institutions, or to the deceased Settlor's Independent Executor.



The Trustee may rely upon the written statements of the deceased Settlor's Independent Executor as to all material facts relating to these payments; the Trustee shall not have any duty to see to the application of such payments.

The Trustee is authorized to: (1) purchase and retain in the form received, as an addition to the Trust, any property which is a part of the Settlor's probate estate, (2) accept distributions from the Settlor's Independent Executor of the probate estate without audit, and the Trustee shall be under no obligation to examine the records or accounts of a Settlor's Independent Executor, and (3) may make distributions of any or all of the Trust Property to the Settlor's Independent Executor in order to fund any testamentary trust created under the Settlor's Last Will and Testament. In lieu of distributing such property to the deceased Settlor's Independent Executor, the Trustee may distribute such property directly to the designated Trustee in such testamentary trust.

The Trustee shall not be liable for any loss suffered by the Trust as a result of the exercise of the powers granted in this paragraph.

Section 3.05 Treatment of Exempt Property

In making any payments pursuant to this Article, the Trustee shall not use any property to the extent it is not included in the gross estate for federal estate tax purposes.

However, if the Trustee makes the determination, in its sole and absolute discretion, that other nonexempt property is not available for payments pursuant to this Article, or that it is not economically prudent to use nonexempt property for the payment of such expenses, it may then use such exempt property.

Section 3.06 The Trustee's Authority to Make Tax Elections

If no Independent Executor is appointed, the Trustee may exercise all available elections with regard to state or federal income, inheritance, estate, generation-skipping transfer, succession, or gift tax law. The authority granted the Trustee in this Section shall include the right to elect any alternate valuation date for federal or state estate or inheritance tax purposes, and to elect whether all or any parts of the administration expenses of the estate are to be used as estate tax deductions and/or income tax deductions.

Any administration expenses claimed as income tax deductions shall be charged against the Administrative Trust.

No compensating adjustments need be made between income and principal as a result of such elections unless the Trustee in its sole and absolute discretion shall determine otherwise, or unless required by law.

The Trustee in its sole and absolute discretion may elect to have Trust Property qualify for the federal estate tax marital deduction as qualified terminable interest property under the appropriate provisions of the Code and its regulations.

The authority granted the Trustee in this Section shall include the right to: (1) elect to defer payment of all or a part of the estate taxes, pursuant to any law permitting deferral; and to enter into any



agreement necessary to defer payment of estate taxes even if doing so extends the statute of limitations and regardless of whether sufficient funds are available to pay the estate taxes when due, (2) elect to value qualified real property at its value based upon actual use rather than its fair market value; and deduct and/or exclude qualified family-owned business interests and qualified conservation easements from the gross estate, (3) allocate the available generation-skipping transfer tax exemption, (4) sign individual and/or joint tax returns, (5) pay any taxes, interest, or penalties with regard to taxes, and (6) apply for and collect tax refunds and interest thereon.

The Trustee may enter into any agreement necessary to make such elections as permitted under the Code and its regulations.

In conferring discretion upon a Trustee to make elections under state law or the Code, it is our desire that the Trustee use its discretion to produce the greatest tax benefit for the deceased Settlor's estate, the surviving Settlor's estate, or his or her beneficiaries, considering both income tax and estate tax consequences to the estate and beneficiaries, but regardless of the effect such an election might have on any gift contained in this Trust Agreement. Without limiting the Trustee's discretion to make these elections, it is our specific intention that our estates be entitled to claim the optimum available marital deduction for federal estate tax purposes that yield the lowest overall estate tax to both Settlers' estates as provided in this Trust Agreement. All provisions of this Trust Agreement and all powers, duties, and discretionary authority granted by us to the Trustee are to be interpreted and limited accordingly.

Section 3.07 Instructions Regarding After Death Issues

In order to control the settlement process (including costs) after death, the proper role of the estate planning attorney is as a counselor for our family. Any estate planning attorney should counsel our family on how to implement and utilize our estate plan for their benefit. With this goal in mind, we leave the following instructions regarding financial arrangements after death.

A. Instructions Regarding Trust "Settlement" (Asset Transfer)

With only minor exceptions, the process for transferring Trust assets after death mirrors the initial trust funding process. The fees for the transfer of assets after death should be similar to those incurred during life.

The Trustee should utilize the services of an attorney to assist in counseling regarding how to implement the asset transfer process. The proper role of the attorney from that point forward in the asset transfer process is as a resource to be used only when problems arise that are beyond the capacity of the Trustee to solve without professional assistance.

If the Trustee needs assistance in the asset transfer process, it should be on a fixed fee basis, quoted in advance of the beginning of the work. Should the fixed fee be based on a percentage of the Trust Estate, care should be taken that the fee is below that customarily charged in similar matters.

If assistance cannot be located that charges for asset transfer services on this basis, the Trustee may hire someone who will charge on an hourly basis and provides an estimate of the total costs before the work begins with preferably a "cap" on the total cost.



B. Instructions Regarding Death Tax Returns

In order to reduce the settlement costs, it is imperative the cost of preparing and filing the tax returns due after death, whether Federal or State Estate or State Inheritance, or both, be controlled.

The Trustee should hire an attorney or Certified Public Accountant (hereafter "CPA") to prepare and file the tax returns who will charge on a fixed fee basis, quoted in advance of the beginning of the work. Should the attorney or CPA base the fixed fee on a percentage of the Trust Estate, care should be taken that the fee is below that customarily charged in similar matters.

If no attorney or CPA can be located that will charge for preparation and filing of the tax returns on this basis, the Trustee should hire an attorney or CPA who will charge on an hourly basis. The attorney or CPA should provide an estimate of the total cost before the work begins with preferably a "cap" on the total cost.

C. Instructions Regarding Probate Services

This Trust plan is designed to avoid the necessity of a probate after death. If assets have been left out of this Trust inadvertently, a probate estate may need to be opened. Because the amount and nature of the assets left out of trust cannot be determined in advance, the Trustee will need to hire an attorney based on estimated costs. Under these circumstances, the Trustee should hire an attorney either on a fixed fee basis (quoted in advance of the beginning of the work) or hourly (with an estimate of the total cost before the work begins, with preferably a "cap" on the total cost).

Section 3.08 Funeral and Other Expenses of Beneficiary

Upon the death of an income beneficiary the Trustee may pay the funeral expenses, burial or cremation expenses of a beneficiary from Trust Property. This Section shall only apply to the extent the income beneficiary has not exercised any testamentary power of appointment granted to the deceased beneficiary under this Trust Agreement.

The Trustee may rely upon any request by the Independent Executor, or members of the family of the deceased beneficiary, for payment without verifying the validity or the amounts and without being required to see to the application of the amounts so paid. The Trustee may make decisions under this Section without regard to any limitation on payment of expenses imposed by statute or rule of court and may be made without obtaining the approval of any court having jurisdiction over the administration of the deceased beneficiary's estate.

Section 3.09 Distribution of Remaining Tangible Personal Property

The Settlers, or either of them, may prepare a handwritten and/or signed list defining the person to whom certain items of tangible personal property should be distributed. Settlers intend that list, if executed by authentic act, to shall constitute a valid Amendment to the Trust and as a consequence of which the property listed thereon shall be distributed in accordance with such list. Settlers



understand that the list must describe both the items of tangible personal property and the persons who are to receive those items with reasonable certainty; that if the person named in our list dies before Settlor, and no further directions are provided in the list, the distribution to that person will lapse and be distributed by the Trustee pursuant to the following paragraphs. All costs of packing, shipping, and insuring such items for distribution to our beneficiaries shall be administration costs of the Trust and shall not be charged to our beneficiaries.

The Trustee shall distribute any remaining tangible personal property of the deceased Settlor to the surviving Settlor if living, otherwise to the Residual Beneficiaries in the proportions set forth in Article Four. If our Residual Beneficiaries are unable to decide among themselves, the Trustee shall distribute it among the Residual Beneficiaries in an equitable manner. The Trustee may use a lottery or rotation system or any other method of allocation to determine the order of selection and distribution of any property among the Residual Beneficiaries. Alternatively, the Trustee may sell all or any portion of the property and distribute the net proceeds to the Residual Beneficiaries. The Trustee shall incur no liability to any party for its decision with respect to either the division or sale of our tangible personal property, and any decision made by the Trustee shall be final and binding on all of the beneficiaries.

A. Definition of Tangible Personal Property

For purposes of this Article, our tangible personal property shall include but not be limited to our household furnishings, appliances and fixtures, works of art, motor vehicles, pictures, collectibles, apparel and jewelry, books, sporting goods, and hobby paraphernalia.

The tangible personal property shall not include any property that the Trustee in its sole and absolute discretion, determines to be part of any business or business interest owned by us or this Trust.

B. Encumbrances and Incidental Expenses of Tangible Personal Property

The Trustee shall distribute property under this Article subject to any liens, security interests, or other encumbrances on the property.

The Trustee shall pay, as an administration expense, the reasonable expenses of storing, insuring, packing, transporting and otherwise caring for any tangible personal property until each item of property is actually delivered to the appropriate beneficiary.

Section 3.10 Death of Surviving Settlor

Upon the death of the surviving Settlor, the Trustee shall make all Specific Bequests not previously made, but provided for in this or any preceding Article (if any), and distribute the remaining Trust assets as provided in the Articles that follow.



ARTICLE FOUR RESIDUARY DISTRIBUTIONS

Subject to any special bequests set forth in the preceding Articles or set forth below in this Article, upon the death of the last Settlor to die, the Trustee shall administer the remaining Trust Property with all the power and authority granted under this Trust Agreement for the benefit of the Residuary Beneficiaries named and in the proportions allocated as set forth in this Article.

Section 4.01 Specific Bequests

A. Specific Bequest to Christopher David Deal

As soon as practicable after the death of the last Surviving Settlor, the Trustee shall distribute our primary residence at 1608 Decatur Drive, Ruston, LA 71270, including the land, the house, and all contents (appliances, furniture, etc.) to **CHRISTOPHER DAVID DEAL**. This bequest shall be outright free of trust.

If **CHRISTOPHER DAVID DEAL** should predecease the last Surviving Settlor, this distribution shall lapse, and the property subject to this distribution shall instead be distributed in accordance with the Articles that follow.

Section 4.02 Residuary Beneficiaries' Names and Shares

Our Residuary Beneficiaries' names and shares are as follows:

<u>Residuary Beneficiary Name</u>	<u>Relationship</u>	<u>Share</u>
CHRISTOPHER DAVID DEAL	our son	50%
MARCIE DEAL RAMSEY	our daughter	50%

Section 4.03 Distribution of Christopher David Deal's Share

The Trustee shall liquidate and/or distribute **CHRISTOPHER DAVID DEAL**'s share outright, but subject to the terms and conditions of Article Five, Under-Age Beneficiaries, if applicable. If **CHRISTOPHER DAVID DEAL** shall not have survived me, or he disclaims all or any part of the property bequeathed to him herein, leaving a child or children who survive me, his share shall be distributed to his Descendants, equally by roots, subject to all other Articles contained in this Trust, including but not limited to Article Five, Under-Age Beneficiaries. If there are no remaining Descendants of **CHRISTOPHER DAVID DEAL**, then **CHRISTOPHER DAVID DEAL**'s share will be distributed, pro rata, to the Residuary Legatees who shall survive him, or their Descendants, by roots, if not surviving, as provided for in this Article, but subject to the terms and conditions of Article Five, Under-Age Beneficiaries.



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Section 4.04 Distribution of Marcie Deal Ramsey's Share

The Trustee shall liquidate and/or distribute **MARCIE DEAL RAMSEY**'s share outright, but subject to the terms and conditions of Article Five, Under-Age Beneficiaries, if applicable. If **MARCIE DEAL RAMSEY** shall not have survived me, or she disclaims all or any part of the property bequeathed to her herein, leaving a child or children who survive me, her share shall be distributed to her Descendants, equally by roots, subject to all other Articles contained in this Trust, including but not limited to Article Five, Under-Age Beneficiaries. If there are no remaining Descendants of **MARCIE DEAL RAMSEY**, then **MARCIE DEAL RAMSEY**'s share will be distributed, pro rata, to the Residuary Legatees who shall survive her, or their Descendants, by roots, if not surviving, as provided for in this Article, but subject to the terms and conditions of Article Five, Under-Age Beneficiaries.



ARTICLE FIVE UNDER-AGE BENEFICIARIES

Notwithstanding any provision to the contrary, the Trustee in its sole and absolute discretion may distribute to the Under-Age Trustee named in Article Six, to hold in trust, any bequest for the benefit of any contingent beneficiary, incidental beneficiary, or named beneficiary whose bequest is outright, if said beneficiary has not attained age eighteen (18). Said Trust shall be held as a separate fund vested in the Under-Age Beneficiary and the Trustee shall have all the powers granted in Article Seven. The Trustee shall then apply for a taxpayer identification number and operate said share as a Separate Share Trust. The Trustee shall administer said Trust for the benefit of the Under-Age Beneficiary as set forth in this Article.

Section 5.01 Trust Administration

A. Discretionary Distributions

Until the Under-Age Beneficiary attains the age of eighteen (18) years, the Trustee may distribute to, or for the benefit of, the Under-Age Beneficiary, from time to time, as much of the net income or principal, or both, of the Trust Estate as the Trustee determines to be necessary for the Under-Age Beneficiary's health, education (including college, graduate, professional and technical), support or maintenance. By way of example but not by way of limitation, the Trustee may pay or apply Trust income and/or principal, in the Trustee's sole and absolute discretion, for expenses customarily related to obtaining an education at any academic level, for wedding expenses of a beneficiary, to assist an Under-Age Beneficiary in purchasing a primary residence, or to assist an Under-Age Beneficiary in relocating or entering a trade or profession.

The Trustee may consider the Under-Age Beneficiary's own resources at such time or times as distributions are requested.

The Trustee shall not apply the net income or principal of the Trust in satisfaction of the Trustee's legal obligation to support the Under-Age Beneficiary. Any net income in any year that is not distributed to, or for the benefit of, the Under-Age Beneficiary shall be accumulated and added to the principal of the Trust at the end of the year.

B. Mandatory Distributions

If the Under-Age Beneficiary attains the age of eighteen (18) years, the Trustee shall distribute to the Under-Age Beneficiary the entire remaining balance of this Trust as then constituted, and upon such final distribution, this Trust shall terminate; provided, however, that the Under-Age Beneficiary shall have the right, upon attaining the age of eighteen (18) years, of extending the term of this Trust, on the terms and conditions as contained herein, for an additional ten (10) years following the date on which the Under-Age Beneficiary attains the age of eighteen (18).



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C. Facility of Payment

1. The Trustee may distribute Trust Property to the Trustee or any person or entity for the Under-Age Beneficiary pursuant to the Uniform Transfer to Minors Act (UTMA). Income and/or principal from said Trust, up to the whole thereof, may be used for the Under-Age Beneficiary. Distributions of said income and/or principal shall be made at times, or from time to time, at the sole and absolute discretion of the Trustee.
2. The Trustee may also, at his or her sole and absolute discretion, make a distribution of income and/or principal to the parent, tutor, curator, legal guardian in order to accommodate the Under-Age Beneficiary at the parent, tutor, curator, legal guardian's residence. Costs may include those required to maintain the residence, construct an addition, or make other improvements. Other costs may include the increased cost of a purchase of a new residence by the parent, tutor, curator, legal guardian to better house the Under-Age Beneficiary. It is our request the Trustee obtain *pro rata* title to any improved or new property to the extent of the improvements made.

D. Miscellaneous Provisions

1. Notwithstanding, if any Under-Age Beneficiary is a child of the Trustee, no such payments shall be made to discharge the Trustee's legal obligation of support under state law.
2. The Trustee, at his or her sole and absolute discretion, may make payments of income and/or principal hereunder, up to the whole hereof, to third parties on behalf of the Under-Age Beneficiary.

E. Trustee Powers

The Trustee shall have and possess, and may exercise the rights, powers and authorities incident to the office of Trustee, or required in and convenient for the discharge of the trust, as set forth in the following Article entitled General Trustee Provisions, incorporated herein by reference, which provisions shall apply to any trust created herein this Article, except to the extent of any inconsistency with this Article.

Section 5.02 Death of Under-Age Beneficiary

If any Beneficiary should die with descendants prior to full distribution of such beneficiary's share, then to the maximum extent permitted by La. R.S. 9:1973, *et seq.*, the interest of that beneficiary shall vest in the descendants of the predeceased beneficiary, equally by roots, as substitute Beneficiaries, subject to the terms of this trust, and shall terminate in accordance with the termination provisions set forth in above, unless sooner terminated in accordance with the Article, below, entitled General Trustee Provisions.



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If any beneficiary should die without descendants prior to full distribution of such beneficiary's share, then to the maximum extent permitted under La. R.S. 9:1973, et seq., as now written or hereafter amended, that beneficiary's interest shall vest in the surviving Residuary Beneficiaries set forth in the preceding Article, in the proportions set forth therein, if any of them is then deceased, in his or her descendants, equally by roots, as substitute beneficiaries, and the trust as to their interest shall continue as to such substitute beneficiaries, and shall terminate in accordance with the termination provisions as set forth, above in this Article, unless sooner terminated in accordance with the Article, below, entitled General Trustee Provisions; provided, however, if there are no surviving Residuary Beneficiaries set forth above in the preceding Article, or surviving descendants of such predeceased Residuary Beneficiary, then said predeceased beneficiary's interest shall vest in the intestate heirs at law of the beneficiary, equally by roots, outright free of trust, but subject to this Article, entitled Under-Age Beneficiary, if applicable.



ARTICLE SIX

APPOINTMENT, RESIGNATION, AND REMOVAL OF TRUSTEES

The Trustees of the Lifetime, Administrative Trust, Separate Share, Under-Age, Incompetent or Disabled Trusts and the respective appointment, resignation and removal of each are set forth in this Article.

Section 6.01 Number of Trustees

Notwithstanding anything to the contrary hereunder, this Trust authorizes the appointment of three (3) Trustees, but at no time shall it be required to operate with more than one (1) Trustee unless the sole Trustee is a beneficiary (other than the Settlor), in which event no less than two Trustees shall be appointed for purposes of distributions to the beneficiary Trustee. In such case, the Trustee may appoint a Limited Purpose Trustee for purposes of the distribution.

Any discretionary distributions to a beneficiary who is also a fiduciary hereunder shall not be made unless a Co-Trustee consents in writing to the distribution. If no Co-Trustee is then acting, then the first Successor Trustee shall act as Co-Trustee for purposes of said distribution only. The Co-Trustee or distribution Trustee consent shall be based upon its sole and absolute discretion.

Section 6.02 Bond

No named Trustee shall be required to post bond or any other security for the faithful performance of any duties or obligations of such office. Any unnamed Successor Trustees shall be required to post bond unless all vested non-contingent beneficiaries unanimously consent to waiving the need for said bond.

Section 6.03 Appointment of Trustees

The Trustees of this Trust and any sub-trusts created hereunder are as follows:

A. Appointment of Trustee

DAVID LAMAR DEAL and **JUDITH MARTIN DEAL** shall serve as Trustees of this Trust and any trust created hereunder without a specific named Trustee. If either **DAVID LAMAR DEAL** or **JUDITH MARTIN DEAL** shall be unable or unwilling to serve, or to continue to serve as Trustee, the other shall serve as sole Trustee.

If both **DAVID LAMAR DEAL** and **JUDITH MARTIN DEAL** are unable or unwilling to serve or to continue to serve as Trustee, then **CHRISTOPHER DAVID DEAL** and **MARCIE DEAL RAMSEY** shall serve as successor Co-Trustees, who shall hold and administer the Trust Estate as set forth in this Trust Agreement. If either **CHRISTOPHER DAVID DEAL** or **MARCIE DEAL RAMSEY** shall be unable or unwilling to serve or to continue to serve as successor Co-Trustees, then the other shall serve as sole successor Trustee.



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A Trustee shall serve as Trustee until its successor shall accept office and shall execute all instruments and do all acts necessary to vest title of the Trust Estate in the Successor Trustee without Court accounting.

If a Successor Trustee is unwilling or unable to serve, the next following Successor Trustee shall serve until the Successor Trustees so named have been exhausted.

If any corporate Trustee shall merge or consolidate with another state or federal corporation, or sell or transfer substantially all of its business assets to another state or federal corporation, the corporation resulting from such merger, or the consolidation of the corporation to which it is converted or to which such sale or transfer shall be made, shall thereupon become the Trustee hereunder with the same effect as though originally named.

B. Appointment of Trustee for Under-Age Beneficiary Trusts

The Trustee of any Under-Age Beneficiary's Trust created under Article Five shall be the parent, tutor, or legal guardian of the Under-Age Beneficiary. In the event the parent, tutor, or legal guardian of the Under-Age Beneficiary is unable to serve or to continue to serve, then the successor Trustee shall be the Successor Trustee(s) set forth above in Section 6.03(A) in the order listed therein.

The Trustee of an Under-Age Beneficiary's Trust for a beneficiary who attains the stated age shall be the beneficiary and a Co-Trustee of his or her choice as provided in this Article.

Section 6.04 Duties and Responsibilities of Successor Trustees

No Successor Trustee shall have any responsibility for any acts or omissions of any prior Trustee or any duty to audit or investigate the accounts or administration of any such Trustee. No Successor Trustee shall have any duty to take action to obtain redress for breach of trust unless requested to do so in writing by a person who has a present or future beneficial interest under a Trust hereunder. Any claim or action against any previous Trustee must in any event be asserted or filed by any beneficiary within one year after the appointment of a Successor Trustee.

Section 6.05 Resignation of Trustees

The Trustee of any trust hereunder, including any Successor Trustee, may resign by delivery of thirty days' written notice of resignation to all of the current beneficiaries of such Trust pursuant to Section 8.01(O).

Section 6.06 Our Rights to Remove and Appoint Trustees

Except as otherwise provided herein this Trust Agreement, we may remove any Trustee with or without cause at any time, other than each other. If a Trustee is removed, resigns, or cannot continue to serve for any reason, we may serve as sole Trustee, appoint a Trustee to serve with us, or appoint a Successor Trustee. We may also modify the order of Trustees or substitute Successor Trustees at any time.



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Section 6.07 Trustee Vacancy

In the event of the resignation, removal, incompetency, incapacity, or death of a final named Trustee, then a Successor Trustee shall be appointed by a court of competent jurisdiction. The court that designates the Successor Trustee shall not acquire any jurisdiction over any trust created under this Trust, except to the extent necessary to name a Successor Trustee.

Any CPA or attorney named as Trustee must maintain errors and omissions liability insurance covering service as Trustee.

Section 6.08 Trustee Delegation

The Trustee may delegate to any other Trustee, or appoint a Limited Purpose Trustee for any limited purpose, to exercise any power granted the Trustee under this Trust Agreement. If exercised, the acting Trustee shall authorize such authority in writing which writing shall determine the delegation granted and its duration of authority. The Trustee granting said delegation may revoke it at any time by written notice of revocation to the Trustee to whom the power was granted. Further, the Trustee may grant a Limited Purpose Trustee the power to transact all business on behalf of the acting Trustee by way of a Trustee power of attorney setting forth said authority.

Section 6.09 Trustee's Limitation

No Trustee may exercise his or her discretion with respect to any distribution from this Trust to any person the Trustee is legally obligated to support if the distribution in any way discharges the support obligation of the Trustee.



ARTICLE SEVEN GENERAL TRUSTEE PROVISIONS

Section 7.01 Powers of Full Purpose Trustee

Except as otherwise specifically provided in this Trust Agreement, a person or entity serving as a Full Purpose Trustee may exercise without prior approval from any Court, all the powers granted under this Trust Agreement and any other powers conferred by law, including, without limitation, those powers set forth under the common law or statutory law of the State of Louisiana or any other jurisdiction whose law applies to the Trust. The powers set forth in La. R.S. 9:2111 et seq. are specifically incorporated into this Trust Agreement.

The Trustee shall exercise these powers in the manner the Trustee determines to be in the best interests of the beneficiaries. The Trustee shall not exercise any of its powers in a manner that is inconsistent with the right of the beneficiaries to the beneficial enjoyment of the Trust Property in accordance with the general principles of the law of Trusts.

The Trustee may freely act under all or any of the powers given it by this Trust Agreement in all matters concerning the Trust after exercising its best judgment based upon all the circumstances of any particular situation as to the best course to follow in the interest of the Trust and the beneficiaries without the necessity of obtaining the consent or approval of any Court and notwithstanding that the Trustee may also be acting individually or as Trustee of other trusts or as agent for other persons or corporations interested in the same matters as a Stockholder, Director, member, or otherwise, provided that it shall exercise such powers at all times in a fiduciary capacity in the interest of any beneficiaries hereunder.

The Trustee's determination regarding the amount of any discretionary payment of income or principal established hereunder, and of the advisability thereof, shall be final and conclusive on all persons, including, but not limited to, those having or claiming any interest hereunder, and upon making any such determination and payment thereof, the Trustee shall be released fully from all further liability or accountability therefore.

In addition to the powers granted by State law, the Trustee shall have all of the powers cited in this Article. To the extent there is any conflict between the powers granted under this Article and those granted by the laws of the State of Louisiana, the provisions of this Article shall prevail.

A. Specific Authorization for Single Signature

Any bank, brokerage firm, insurance or other financial institution, or any other third party doing business with the Trustee, is hereby authorized to open any account in such a manner as to permit the transaction of any business upon (1) the signature of any individual Settlor acting as Trustee or (2) the consent of the majority of appointed Trustees (if none are a Settlor) to any one Trustee or a particular Trustee, rather than upon a majority or unanimous consent.

In order to facilitate transaction of business, the joinder of a Trustee under this section may be indicated as to actions taken with regard to a particular investment account by the Trustee's



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signature on appropriate signature authorization form. The Trustee's signature authorizing another Trustee to act alone shall constitute that Trustee's joinder with all actions taken regarding the account, unless and until the signature authorization form is changed, or the bank, brokerage firm, insurance or other financial institution, or any other third party doing business with the Trustee is expressly notified in writing of the Trustee's withdrawal of concurrence.

B. General Authority

Generally, the Trustee shall have the authority to:

1. hold any or all of the Trust Estate in the form of investment in which it is received;
2. make distributions of principal to or for the benefit of any income beneficiary, principal beneficiary, or Residuary Beneficiary;
3. sell at public or private sale, to mortgage, pledge, or hypothecate, or to exchange or lease (including lease for a period extending beyond the terms of the Trust) any stocks, notes, securities, financial holdings, or investments authorized herein, real estate, minerals, and other property upon such terms, cash or credit, or both, as the Trustee may deem advisable;
4. buy or sell movable or immovable property for the trust from or to himself, herself or itself, and if the Trustee is a corporate trustee from or to an affiliate, and if the Trustee is an individual trustee from or to his relative, employer, partner or other business associate pursuant to La. R.S. § 9:2085 and La. R.S. § 9:2199, as the same may be amended from time to time.
5. invest and reinvest the Trust Estate in investments of any kind, real or personal, including, without limitation, stocks, bonds, notes, mortgages, land, minerals, royalties, leaseholds, and participation in partnerships, joint ventures, and other business enterprises and to write or purchase call or put options and other derivative securities;
6. construct, repair or demolish any improvements upon any real property;
7. participate in any reorganization, consolidation, merger, or dissolution of any company, corporation, or limited liability company, the stocks, bonds, or securities of which may be held at any time;
8. hold investments or any part of the Trust in common or undivided interest with others;
9. establish bank accounts of any type at any banking institution the Trustee deems appropriate;



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10. demand, receive, provide receipt for, and collect all rights, money, properties, or claims to which this Trust may be entitled, and to compromise, settle, or abandon any claim in favor of or against this Trust;
11. borrow funds for this Trust in such amounts and for such purposes as my Trustee may deem proper and to purchase property on the credit of this Trust and in connection therewith, or in connection with such borrowing, to execute and deliver promissory notes or other evidence of indebtedness of this Trust, and to mortgage or pledge all or any part of the Trust to secure payment of such indebtedness and to repay such indebtedness out of the Trust;
12. employ agents, legal counsel, accountants, financial advisors, brokers, and other professionals or consultants, including any acting Trustee who is also a professional, and to pay their fees and expenses including expenses of a Trustee's professional service firm for services provided outside his or her capacity of serving as Trustee;
13. serve as an officer, director, manager or employee of any business entity in which the Trust has an interest or to vote in person or by proxy on shares of stock or membership interest which may be a part of the Trust Estate;
14. manage, control, operate, invest, reinvest, sell, exchange, lease, mortgage, encumber, and/or deal with the property of this Trust for and on behalf of the Trust and the beneficiaries to the same extent and with the same powers that any individual would have in respect to his or her own property;
15. during the minority of any beneficiary to whom payments of income or principal shall become payable hereunder the Trustee shall make payments either directly to such beneficiary, or to any such person or institution or association for the benefit of such beneficiary, whichever the Trustee shall determine as advisable under the circumstances, and the receipt of any such beneficiary or other recipient shall constitute a complete acquittance for any amount thus paid.

C. Limitation on Authority

The powers of the Trustee to enter into any transaction shall in no way be limited by the fact that the same or another party to such transaction is a beneficiary; the estate of a beneficiary (whether living or deceased); a trust created by or for the benefit of a beneficiary (whether living or deceased); the estate of either Settlor; a trustee of any trust (including Trustees appointed herein) acting in a capacity other than his or her fiduciary capacity; or a personal representative of any estate (including that of a Settlor) acting in a capacity other than his or her fiduciary capacity.



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D. Accounting

1. The Trustee may render an account of the administration of the Trust to the beneficiaries hereof in accordance with the provisions of §2088 of the Louisiana Trust Code, or as it may hereafter be amended, but is not obligated to do so unless such an account is demanded by a Beneficiary or his or her legal representative.
2. Upon written request by the beneficiary or the beneficiary's personal representative, the Trustee shall make an annual report in writing to any living beneficiary over the age of twenty-one (21) years who could, in the discretion of the Trustee, receive any income or distribution from the Trust estate during that year. Such report shall be for a calendar or fiscal year beginning each year on a date selected by the Trustee as appropriate for this purpose and shall be submitted to such beneficiary (or to the tutor, curator, guardian, conservator, committee, or other like official of any incapacitated beneficiary) with reasonable promptness after the end of such period. Each report shall include a statement of all property on hand at the end of such year, all receipts and disbursements during each year, all sales and purchases made during such year, and of such other acts of the Trustee as may be necessary to furnish such beneficiary with adequate information as to the condition of the Trust estate.

E. No Court Supervision

No Trustee shall be required to qualify before, be appointed by, or in the absence of breach of trust, account to any court the order or approval of any court in the exercise of any power or discretion.

Section 7.02 Additional Trustee Powers

The following provisions shall apply to each trust established herein the preceding Articles wherein a Full Purpose has been designated to hold, administer and distribute the Trust Estate, except to the extent of any inconsistency.

In addition to the powers granted by State law, the Trustee shall have all of the powers cited in this Section. To the extent there is any conflict between the powers granted under this Section and those granted by the laws of the State of Louisiana, the provisions of this Section shall prevail.

A. Additional Property

The Trustee may receive additional property into the trust from third persons, provided, however, that any such additions shall be subject to the all the terms and conditions of the trusts set forth in this Article and the preceding Articles. Unless it is specified in such addition that the same shall be specially allocated, in whole or in part, to a specific Trust or to the



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share(s) of one or more Beneficiary(ies), then any such addition shall be allocated pro rata among all of the Beneficiary(ies)' shares.

B. Medicaid and Asset Protection Planning

The Trustee may, in his or her sole and absolute discretion, distribute principal and/or income to any irrevocable trust created by us or our agent authorized under a power of attorney granted by us to engage in estate, Medicaid, Veterans' benefit, or asset protection planning. If no agent is authorized, then the Trustee shall have the sole and absolute discretion to create an irrevocable trust for estate, Medicaid or asset protection planning of the assets under this Trust. The terms of said trust shall be determined by our said agent or the Trustee hereunder so as to accomplish these purposes, and in all events, the beneficiaries and manner and method of distribution and authorities granted to the Trustee or beneficiaries hereunder shall be consistent with this Trust Agreement.

C. Electronic Data

The Trustee shall exercise all powers of absolute ownership regarding any computer of ours, any data storage device or medium of ours, any electronically stored information of ours, any user account of ours, and any domain name of ours. This authorization constitutes our consent under the Electronic Communications Privacy Act of 1986, as amended; the Computer Fraud and Abuse Act of 1986, as amended; and any other applicable federal or state data privacy law;

D. Corporate Trustee

If the Trustee is a corporate Trustee, it shall have the following powers:

1. To invest Trust funds in certificates of deposit or savings accounts of the corporate Trustee, or the certificates of deposit or savings accounts of an affiliate, or in a common trust fund maintained by the Trustee;
2. To make general deposit of Trust funds in its own banking department or that of an affiliate, without the necessity of obtaining security of any kind.

E. Facility of Payment

A Beneficiary may elect to have the Trustee retain all or a portion of the Trust income or principal that the Trustee may, in its sole and absolute discretion, otherwise elect to distribute to or for the benefit of such Beneficiary. If a Beneficiary is suffering from a legal incapacity or disability, the Trustee may make any payment in its discretion, in any one of the following ways:

1. Take any action necessary to have a legal tutor or custodian appointed (who may also be a Trustee of any separate share of the Trust) for such Beneficiary, if none has already been appointed, and make the payment to his or her legal representative.



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2. During any period in which the Trust does not own any S Corporation stock, make payment of expenses incurred, or to be incurred directly to the person entitled to receive such payment. The decision of the Trustee to make direct payments or to apply funds on behalf of such Beneficiary shall be conclusive upon all parties.
3. Name a custodian for such Beneficiary under the Louisiana Uniform Transfers to Minors Act, La. R.S. 9:751 et seq, and make such payment to such custodian.

F. Payment of Expenses

The Trustee may pay from the Trust all taxes due by the Trust and any and all expenses incurred in connection with the administration thereof, such as fees for the preparation of income tax returns, legal fees, compensation of the Trustee, periodic accountings, or any other expenses. All such charges and any compensation payable by the Trust shall be charged against income to the extent income is available and any excess against principal, provided, however, no such charges shall be in violation of the qualified subchapter S trust requirements of Section 1361(d)(3) of the Code. Notwithstanding any provision to the contrary, no Trustee other than a Trustee may make discretionary distributions to or for the benefit of a Beneficiary.

G. Investments

The Trustee shall have, in the investment and reinvestment and administration of the securities and property forming the corpus of this Trust, the widest latitude and authority permitted by Louisiana Law. The Trustee shall be fully authorized to hire and/or contract with one or more investment advisors ("Investment Advisor" or "Investment Advisors") and further shall have the ability to delegate investment discretion to such an investment advisor. The Trustee may be, shall not be liable for any loss caused by or resulting from any action taken or omitted in reliance on any recommendation by the Investment Advisor regarding the investment of Trust assets, so long as the selection of the Investment Advisor and the reliance on the advice was in good faith.

H. Retention of Unproductive Assets

The Trustee is authorized to accept and retain any property donated to this Trust for as long a period of time as the Trustee may think proper, even though such property is of a kind or in an amount that ordinarily would not be considered suitable for trust investments.

I. Combination of Trusts

Subject to Provisions Relating To S Corporation Stock (QSST) set forth below in this Article, the Trustee shall have the power to commingle the properties of this Trust with the property of any other separate share of this Trust created herein, or, with the prior written consent of the Trustee (if any), of any other trust created by the Settlor, for investment, administrative, or other purposes, allotting to each separate trust an undivided interest in the commingled trust property which shall always be equal to that trust's proportionate contribution to the



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commingled trust property, and to give one accounting for this Trust and any other trust created by the Settlers; provided, however, that any terms of the trust before combination that would affect the terms of distributions pursuant to the preceding Articles must remain substantially the same in the combined trust created.

J. Merger of Trusts

Subject to Provisions Relating To S Corporation Stock (QSST) set forth below in this Article, if at any time the Trustee of any trust created by this Trust shall also be acting as the Trustee of any other trust (herein this section referred to as the “Other Trust”) for the benefit of the same Beneficiary and upon substantially the same terms and conditions, the Trustee may transfer and merge all of the assets then held in the Trust or in any trust created hereunder to and with the Other Trust and thereupon terminate this Trust. The Trustee is further authorized to accept the assets of the Other Trust that may be transferred to the Trustees of this Trust and to administer and distribute such assets in accordance with the provisions of this Trust. No such merger may occur if as a consequence thereof this Trust will, or may, become revocable, or if any breach of the provisions of this Trust pertaining to distributions or otherwise will or could occur, or compromise the spendthrift provisions set forth in this Trust Agreement.

K. Division of Trusts

Subject the Provisions Relating to S Corporation Stock (QSST) set forth below in this Article, the Trustee is authorized to hold property otherwise directed to be added to or consolidated with the trust property of any trust held hereunder as a separate trust having terms identical to the terms of the existing trust; to sever any trust on a fractional basis into two or more separate trusts for any reason; to segregate by allocation to a separate account or trust a specific amount out of, a portion of, or specific assets included in, the trust property or any trust held hereunder to reflect a partial disclaimer or refusal or for any tax or other reason in a manner consistent with any applicable rules or regulations. Income earned on a segregated amount, portion or specific assets after the segregation is effective shall be allocable to such amount, portion or specific assets. In administering the trust property of any separate account or trust and in making applicable tax elections, the Trustee shall consider the differences in federal tax attributes and all other factors the Trustee believes pertinent and the Trustee may thereafter make disproportionate distributions from the separate trusts created. A separate trust created by severance or segregation shall be treated as a separate trust for all purposes from and after the date designated by the Trustee as the effective date of the severance or segregation and shall be held on terms and conditions that are substantially the same as the terms of the trust before severance or segregation; provided, however, that any terms of the trust before severance or segregation that would affect distributions pursuant to the preceding Articles, qualification of the trust for any federal tax deduction, exclusion, election, exemption or other special federal tax status, must remain substantially the same in each of the separate trusts created. No such severance or segregation may occur if as a consequence thereof this Trust will, or may, become revocable, or if any breach of the provisions of this Trust pertaining to distributions or otherwise will or could occur. Income and Principal



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Except as otherwise provided herein and subject the Provisions Relating to S Corporation Stock (QSST) set forth below in this Article, the Trustee, in the administration of this Trust, shall decide and determine to the exclusion of all other persons what shall constitute principal and income of the Trust, and the allocation thereof to the Trust; whether to charge to income or principal or apportion between them any expense of the Trust, as the Trustee may determine in the sole discretion of the Trustee; and generally to determine all questions as between principal and income and to credit or charge to either or to apportion between them any receipt or gain and any charge, disbursement, or loss as is deemed advisable in the circumstances of each case as it arises, notwithstanding any statute or rule of law for distinguishing income from principal or any determination of the Courts. However, notwithstanding the foregoing, the Trustee shall in no event charge any expense or any other charge to income, or exercise any power to adjust principal and income pursuant to La. R.S. 9:2158 et seq, if such charge would violate the qualified subchapter S trust requirements of Section 1361(d)(3) of the Code.

L. Discretionary Termination

Notwithstanding any other provision to the contrary, the Trustee may terminate any of the separate trusts established in the preceding Articles, in whole or in part, at any time prior to the stipulated termination date, whenever in the Trustee's discretion, it is appropriate or desirable to do so, as for example, but without limitation, when the trust property no longer justifies the expenses of trust management, or if the Trustee considers such distribution to be in the best interest of the beneficiary, considering the demonstrated ability of the beneficiary to handle money and property wisely, and to use judgment, prudence and discretion, and considering any other factors the Trustee may consider relevant. In exercising this purely discretionary power to terminate the trust or any separate trust, the Trustee shall not be subject to the fiduciary duty of impartiality and may apply any criteria that it deems necessary in its sole and absolute discretion to determine whether or not to exercise the power of termination. The Trustee may exercise the power of termination even though the beneficiary is restrained from alienating her interest in the trust.

M. Withholding Distributions

Notwithstanding the provisions for distributions of income and principal set forth in the preceding Articles, the Trustee shall have authority to withhold any distribution of principal (including distributions upon termination of the Trust) to the Beneficiary if the Trustee determines that such distribution is not in the best interest of the Beneficiary. In determining whether or not it is in the best interest of the Beneficiary for any such payment to be made to the Beneficiary, the Trustee shall consider the financial responsibility, judgment and maturity of that Beneficiary, including whether or not, at the time of such distribution, the Beneficiary: (i) is suffering from any debilitating physical, mental, emotional or other condition that might adversely affect the Beneficiary's ability to manage, invest and conserve property of the value that would be distributed to the Beneficiary; (ii) is at such time, or previously has been, a substantial user of or addicted to a substance the use of which might adversely affect the Beneficiary's ability to manage, invest and conserve property of the value that would be distributed to the Beneficiary; (iii) has demonstrated financial instability and/or an inability to



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manage, invest and conserve his or her own property; (iv) is going through a period of emotional, marital or other stress that might affect the Beneficiary's ability to manage, invest and conserve such property; and/or (v) is or has been under the influence of one or more individuals or organizations who or which in the opinion of the Trustee may successfully endeavor to induce the Beneficiary to part with such property. When distributions resume, the remaining balance, if any, of the distributions that were suspended may be distributed to the beneficiary at that time. If the Beneficiary dies before distribution of those suspended amounts, the Trustee shall distribute the remaining balance of those suspended amounts to the persons who would be the substitute beneficiaries of the Beneficiary's share as otherwise provided herein. It is not the Settlor's intention to make the Trustee responsible or liable to anyone for a Beneficiary's action or welfare. The Trustee will have no duty to inquire whether the Beneficiary uses drugs or other substances described herein or otherwise inquire into the status of any beneficiary. The Trustee is to be indemnified from the Trust Estate and held harmless from any liability of any nature in exercising his or her judgment and authority hereunder, including a decision to distribute suspended amount to the Beneficiary. Despite these provisions, the Trustee cannot suspend any mandatory distribution to or for the benefit of the Beneficiary that are required pursuant to forced heirship laws of the State of Louisiana and/or are required in order for the Trust to qualify for any federal transfer tax exemptions, deductions, or exclusions allowable with respect to the Trust, or that are required to qualify the trust as a Qualified Subchapter S Trust.

N. Amend Administrative Provisions

The Trustee may amend any provision of this Trust in order to:

1. Alter the administrative or investment powers of the Trustee to comply with any changes in law;
2. Add or modify terms of the trust to reflect tax or other legal challenges that affect trust administration; provided, however, the terms of the trust that affect trust administration shall not be altered in any way that would compromise the spendthrift protection that would otherwise be afforded to the Beneficiary's interest by operation of law pursuant the following Article; or
3. Clarify or correct ambiguities, including scrivener errors, that might otherwise require court construction or reformation.

Notwithstanding the foregoing, the Trustee shall not have the power to amend any distributive provision of this Trust, including but not limited to the distributive provisions set forth in the preceding Articles, or to alter the complete and absolute discretion afforded the Trustee in making decisions regarding the distribution of income and/or principal to or for the benefit of a beneficiary. An amendment to this Trust shall be made in a written instrument signed by the Trustee. The Trustee shall mail, by first class mail, a copy of the amendment to the Beneficiary(ies) or their legal representative. Notwithstanding any other provision of this instrument, the Trustee may not



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amend or modify any power or provision of the Trust so as to expand the Trustee's amending powers or the Trustee's other existing powers, authorities, or discretions. This provision shall not prevent the Trustee from making amendments to correct scrivener's errors as to the Trustee's powers, authorities, and discretions, or to amend the Trust in any manner required for the sole purpose of ensuring that the powers, authorities, and discretions of the Trustee remain legally binding and valid under state and federal law.

Section 7.03 Office of the Trustee

A. Security

The Trustee shall not be required to post bond or security of any kind.

B. Taxes

The taxes due by the trust and any and all expense incurred in connection with administration thereof, such as fees for the preparation of income tax returns, legal fees, periodic accountings, or any other expenses, shall be charged entirely against the income of the trust to the extent that income is available and any excess charged against the principal.

C. Reasonable Compensation and Expenses

Any individual serving as Trustee of this Trust shall not be entitled to compensation in accordance with the Louisiana Trust Code, particularly La. R.S. 9:1721, *et seq.*, as now written or hereafter amended, including reimbursement of expenses as provided below. Any bank, financial institution or trust company serving as Trustee of this Trust shall be entitled to receive the rate of compensation it customarily charges for rendering such services at the time such services are rendered. The Trustee shall receive reimbursement for all expenses incurred in the administration of the Trust. All such compensation and expenses shall be charged first against ordinary income, then capital gains, then unrelated business taxable income, then tax-exempt income, and then, if income is insufficient, against principal; provided, however, no such charge shall violate the qualified subchapter S trust requirements of Section 1361(d)(3) of the Code.

D. Institutional Trustee

Any institutional Trustee must have the following characteristics to become and remain Trustee: (1) the institutional Trustee must be a bank, financial institution or trust company; (2) have fifty million dollars (\$50,000,000) minimum in net assets; (3) have liability insurance covering errors, omissions and acts of the trustee which names the trust as an additional insured in an amount equal to the value of trust corpus; and (3) have a trust department.



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E. Trustee Decisions

All authority granted to or vested in any Trustee by any provision of this Trust is to be exercised in the sole and absolute discretion of the Trustee. Where two Co-Trustees are serving as Trustees, the decision of the Co-Trustees must be unanimous to take action on behalf of the Trust. Where more than two Co-Trustees are serving as the Trustees, decision of a majority of such Co-Trustees shall constitute the action of the Co-Trustees and shall be binding upon the Trust, the beneficiaries of the Trust and all persons transacting any matter with the Trust. The Co-Trustees may appoint one of the Trustees to administer the day-to-day affairs of the Trust.

F. Trustee Signatures

Except as otherwise specifically provided where both Settlers are serving as Trustees, where two Co-Trustees are serving as the Trustees hereunder, the signatures of both Trustees shall be necessary to implement any action of the Trustee taken pursuant to this Article, or to perform and/or implement any other duty of the Trustee under the Trust. Where more than two Co-Trustees are serving as the Trustees hereunder, the signatures of a majority of the Co-Trustees shall be necessary to implement any action of the Trustee taken pursuant to this Section, or to perform and/or implement any other duty of the Trustee under the Trust.

G. Bank Accounts

The Trustee shall have the authority to open such bank account or accounts as the Trustee deems necessary to further the purposes of the Trust; provided, however, no Managing Trustee shall be authorized as a signatory on any bank account. Except as otherwise specifically provided where both Settlers are serving as Trustees, where two or more Co-Trustees are serving, any banking resolution shall require the signature of at least two Co-Trustees to issue checks or make disbursements or transfers from such accounts.

H. Standard of Care

The Trustee shall be responsible only for reasonable care, diligence and business prudence in the administration of this trust, and is relieved from all liability and responsibility in connection with the administration of this trust, except any such liability and responsibility as may result from the Trustee's bad faith in the administration of the trust, or from the Trustee's gross negligence or gross misconduct, provided however that nothing contained herein shall relieve a Trustee of such Trustee's duty of loyalty to the Beneficiaries.

I. Effect of Trustee's Acts

Any instrument executed by the Trustee shall be binding upon all parties hereto and on all Beneficiaries hereunder with respect to the powers reserved to such Trustee as set forth in this Article, as the case may be.



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J. Application of Property

No person dealing with the Trustee shall be liable to see to any application of any money or other property delivered to the Trustee.

K. Payments to Tax Authorities for Trust Inclusion

This is a grantor trust for income and estate tax purposes. The Trustee may, in its sole and absolute discretion, pay to any taxing authority that amount due and owing by the Settlor by reason of the inclusion of the income from this Trust in the Settlor's annual personal income tax return or the inclusion of Trust assets on the Settlor's estate tax return.

L. Self-Serving Acts

The Trustee is authorized to conduct self-serving transactions otherwise prohibited by La. R.S. 9:2084-86 so long as the acts contradict any limitations otherwise placed upon the Trustee under this instrument. In conducting self-serving acts, the Trustee shall be held to the same standard of skill and care as would pertain if there were no question of self-dealing.

M. Indemnification

No Trustee hereunder shall be liable for acts or omissions in administering the Trust Estate except for the Trustee's own actual fraud, gross negligence, or willful misconduct. If any Trustee becomes liable as Trustee to a non-beneficiary for any matter not within the Trustee's control, such Trustee shall be fully indemnified and held harmless by the Trust Estate and any trust created hereunder giving rise to such liability, as the case may be, against and in respect of any damages that such Trustee may sustain, including without limitation, reasonable attorney's fees.

Section 7.04 Business Interests

A. Transfers to Trust

As to each and any corporation, partnership or other business entity, public or private (for purposes of this Section, each such corporation, partnership or other business entity is hereafter referred to as the "Entity" or "Entities" as the context may require), in which the Trust holds, acquires, or may acquire any interest, the Trustee is hereby authorized to execute any and all agreements and contracts the execution of which is a condition to the transfer of such property to the Trust.

B. Retention of Business Interest

The Trustee is authorized to retain the shares thereof or interest therein of the Entity for as long as they deem it to be in the best interests of the Trust and the beneficiaries thereof, regardless of any duty to diversify investments, and notwithstanding any other fiduciary obligation which might require them to dispose of such shares or interest other than the obligation to act with reasonable care.



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C. Continuation of Business

To the extent permitted by law and this Trust instrument, the Trustee is authorized to exercise its rights and powers as holder of such shares or interest to effect the continued operation of the Entity.

D. Sale or Liquidation

The Trustee is authorized to exercise its rights and powers as holder of such shares or interest sale or other disposition of such Entity's assets or business(es), or to sell, exchange, offer for redemption or otherwise dispose of the shares of or interest in the Entity, or to effect the liquidation or dissolution of the Entity at such time or times and upon such terms and conditions as shall, in the opinion of the Managing Trustee, be in the best interest of the Trust and the beneficiaries thereof.

E. Management

So long as the Trust continues to hold any interest in the Entity, the Trustee is authorized and empowered to participate in the management of the Entity to the extent the Trust's interest therein enables it to do so, without liability or responsibility for any loss resulting from the exercise of the powers hereby granted, or to delegate its managerial authority to others, whether by means of employment, agreement or other arrangements, and they may enter into voting trusts and grant irrevocable proxies, as they deem advisable. Consequently and to these ends, the Trustee is authorized to select, vote for and remove directors of the Entity (if the Entity is a corporation), to take part in the management of the Entity and, to the extent permitted by law, in its managerial capacity to fix, determine or change the policy thereof; to name or change officers, the managing personnel and/or the operating personnel; to employ new management; to reduce, expand, limit or otherwise change the business or type of merchandise dealt in or property invested in the investments held by or product manufactured by or service rendered by the Entity; to require the employees and/or the officers of the entity to file bonds for the faithful performance of their duties; to determine the amount of the bond or bonds to be secured; to select the bonding company; to employ expert disinterested public accountants or engineers to make a full and complete survey or appraisal of the Entity's business and its prospects in the trade; to employ investment or legal counsel (including any firm with which a Trustee hereunder may be associated) whenever the Trustee shall deem it advisable; to charge the cost of all such services against the interest in the Entity held in the Trust assets or to vote or take other action to require the Entity owning said business to pay such expense; to contribute additional working capital or to subscribe to additional stock as it may see fit, and to take all steps and perform all acts which it shall deem necessary or advisable in connection therewith.

F. Holding Office

Any Trustee may act as officer, partner, director, manager or employee of the Entity (or any Entity formed after execution of this Trust as provided in La. R.S. 9:2097, or the corresponding future provision of the Louisiana Trust Code), and the Trustee is specifically



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authorized to exercise its rights inhering in its ownership as Trustee for the election or appointment of any person or persons, including itself, as director, officer, manager or the like. Any Trustee who serves as officer, partner, director, manager or employee of the Entity shall be entitled to receive reasonable compensation for such services notwithstanding that the Trustee may itself (whether individually or Trustee hereunder) be in a position to determine, or control the determination of, the amount of such compensation, and no such person shall be required to furnish any bond in connection with any such employment.

G. Conflicts of Interest

The Settlers are aware that conflicts of interest may arise by reason of the Trustee's service as officer, partner, director, manager or employee of the Entity and by reason of the Trustee's owning an interest in the Entity in its own right. The Trustee shall, in all respects, be free to exercise the rights and powers conferred without restriction as if no conflicting interest existed. To the extent permitted by law, the Trustee is exempted from the adverse operation of any rule of law which might otherwise apply to it in the performance of its fiduciary duties by reason of conflict of interest. Without limiting the generality of the foregoing, the Trustee shall not have any greater burden of justification in respect of its acts as the Trustee by reason of conflict of interest than it would have in the absence of any such conflict.

Section 7.05 Provisions Relating to Stock (QSST)

A. Subchapter S Corporations Stock

Any time this Trust is not treated as a grantor trust under the Code, the Trustee may elect to hold capital stock issued by a corporation or other entity taxable as a corporation for federal income tax purposes that is treated, under Code Section 1361(a), as an "S corporation" for federal income tax purposes, as a separate "electing small business trust" or as a separate "qualified subchapter S trust," as defined in Code Section 1361.

The Trustee may consider any changes to the terms and conditions of the Trust that will be required as a result of either election.

The Trustee shall apportion to the electing small business trust a reasonable share of the unallocated expenses of all trusts created under this Trust Agreement, in accordance with the applicable provisions of the Code and the Regulations, and the Trustee shall administer the Trust as an electing small business trust under Code Section 1361(e).

B. Electing Treatment as a Qualified Subchapter S Trust

The Trustee shall refer to any qualified subchapter S trust using the same name as the Trust to which the stock was originally allocated, followed by the name of the current income beneficiary and the letters "QSST."

The Trustee shall administer any qualified subchapter S trust in accordance with the same provisions contained in the trust to which the S corporation stock was originally allocated.



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These provisions shall control the administration of the trust to the extent that they are inconsistent with the provisions of the original trust.

The Trustee shall maintain the qualified subchapter S trust as a separate trust held for the benefit of one beneficiary.

The Trustee shall request the current income beneficiary of the trust to make an election in accordance with Code Section 1361 in order to qualify the trust as a qualified subchapter S trust.

The current income beneficiary of a qualified subchapter S trust is the person who has a present right to receive income distributions from the trust to which the S corporation stock is allocated. A qualified subchapter S trust shall have only one current income beneficiary. If there is more than one current beneficiary, the Trustee shall segregate the S corporation stock into separate qualified subchapter S trusts for each person who has a present right to receive income distributions.

Upon the death of the current income beneficiary or the date on which the qualified subchapter S trust no longer holds any S corporation stock, whichever occurs first (the "QSST termination date"), the Trustee shall distribute, at least annually, all of the trust's net income, as defined in Code Section 643.

The terms of the trust to which the S corporation stock was originally allocated shall govern distributions of principal from the qualified subchapter S trust; provided, however, that until the QSST termination date, the Trustee may only distribute principal to the current income beneficiary of the qualified subchapter S trust.

The Trustee shall characterize receipts and expenses of any qualified subchapter S trust in a manner consistent with Code Section 643(b).

The Trustee may not merge or consolidate any qualified subchapter S trust with the assets of another trust if doing so would jeopardize the qualification of either trust as a qualified subchapter S trust.

C. Amendment to Qualify as QSST

It is the intention of the Settlers that this Trust or any sub-trust or separate share established hereunder be eligible for treatment as a Qualified Subchapter S Trust (QSST) under Section 1361(d) of the Internal Revenue Code of 1986, as amended, and all provisions of any such sub-trust or separate share shall be interpreted in accordance with this intent. To the extent allowed by La. R.S. 9:2025, or the corresponding future provision of Louisiana Trust Code, the Trustees shall have the power to amend any such sub-trust or separate share for the sole purpose of allowing it to qualify as a QSST.



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D. Beneficiary Election

The beneficiary of any such QSST sub-trust or a separate share (or his or her representative) is strongly encouraged to consider filing the required election under Section 1361(d)(2) of the Code for the treatment of the sub-trust or separate share as a QSST. In the event the beneficiary of any such QSST sub-trust, or a separate share (or his or her representative) fails or refuses to file the required election under Section 1361(d)(2) of the Code, the Trustee may sell (at a price not less than fair market value) the shares of stock for which such election would apply to the corporation (as a redemption), or a third-party, subject to any restrictions on transfer contained in the corporate documents.

E. Voting of Shares

Any voting of shares owned by the sub-trust shall be voted by the Trustee of the respective trust, as the case may be. If more than one Trustee is serving as trustee such Trustees must vote in accordance with the provisions of this Article applicable to Co-Trustees.

Section 7.06 Restrictions on Powers

Any beneficiary of any trust created hereunder acting as a Trustee hereunder, shall be disqualified from exercising any power to make any discretionary distributions of income or principal to him/herself, or to satisfy any of his/her legal obligations, or to make discretionary allocations in his/her own favor of receipts or disbursements as between income and principal unless specifically provided for.

The above shall not prevent a beneficiary Trustee from making distributions to him/herself that are consistent with the distributions among a class of beneficiaries required hereunder or made equally among the beneficiaries.



ARTICLE EIGHT

DEFINITIONS AND MISCELLANEOUS PROVISIONS

Section 8.01 Miscellaneous Provisions

A. Accounting

Upon the written request of a beneficiary, or any guardian or conservator of a beneficiary, the Trustee shall render an account of the administration of the Trust hereunder to such beneficiary, guardian, or conservator. A beneficiary, or a beneficiary's guardian or conservator, may not request such accounting more often than annually. The Trustee shall render an accounting no later than ninety days after receipt of the request for a period ending the calendar quarter preceding the receipt of the request.

B. Beneficiary's Spouse's Rights

It is our intent that no spouse of any named beneficiary retain or have any right to any interest in this Trust Agreement or any trust created hereunder unless specifically provided for in the Articles of this Trust Agreement.

C. Collation

Settlors dispense their children from collating any gift made to either of them during their lifetimes or by reason of either Settlor's death. Settlers intend such gift or gifts (if more than one) to constitute an extra portion to their child or children.

D. Commorientes and Survivorship Presumption

Any beneficiary (lifetime, residuary, specific, or stretch-out) of this Trust, sub-trust, or future trust created by this Trust Agreement who dies simultaneously with a Settlor, or in circumstances that render it difficult to determine who survived the other shall be deemed to have predeceased the Settlor. Additionally, any successor or alternate beneficiary of this Trust, sub-trust, or future trust created by this Trust Agreement who dies simultaneously with a beneficiary, or in circumstances that render it difficult to determine who survived the other shall be deemed to have predeceased the beneficiary. To the extent permitted by applicable law, any beneficiary who survives a Settlor or should any successor beneficiary survive a beneficiary, but thereafter dies within thirty (30) days of the Settlor or other beneficiary, shall be deemed to have predeceased the Settlor or other beneficiary, as applicable. Should the Trustee or estate representative for the deceased Settlor or beneficiary elect an alternative valuation date, then to the extent permitted by applicable law, any beneficiary who survives a Settlor or any successor beneficiary who survives a beneficiary, but thereafter dies within six (6) months of the Settlor or other beneficiary, shall also be deemed to have predeceased the Settlor or other beneficiary, as applicable.



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E. Contest Clause

If any beneficiary shall in any manner, directly or indirectly, attempt to contest or oppose the validity of this Trust Agreement, including any amendments thereto, or if any beneficiary commences or prosecutes any legal proceedings to set this Trust Agreement aside, then in such event such beneficiary shall forfeit his or her share, cease to have any right or interest in the Trust Property, and shall be deemed to have predeceased us without surviving issue.

Should any person disclaim his or her interest, in whole or in part, in any trust created for his or her benefit in this Trust Agreement, the result of which would be for that person to receive Trust Property free of trust earlier than provided by the terms of the Trust, then the disclaiming person shall forfeit his or her interest in the Trust, shall cease to have any right or interest in the Trust Property, and shall be deemed to have predeceased us.

If either Settlor elects to take a statutory share of the estate of the other as provided under state law, then any interest or property provided for the electing Settlor, or for their benefit by the deceased Settlor pursuant to the provisions of this Trust Agreement by reason of the death of the first Settlor, shall terminate and, notwithstanding any provision herein to the contrary, all interests of the electing Settlor shall be administered as though the electing Settlor had predeceased the deceased Settlor.

F. Divorce

Notwithstanding any other provisions to the contrary, if our marriage ends by a divorce, dissolution, or annulment, or if we are separated, or have lived apart from each other for twelve months or more (unless the reason we lived apart was to assist other family members, was related to a medical condition, was due to military service, or was job related, or the like), then any and all rights retained by us as Settlers jointly or specific to each spouse, shall inure to each of us individually, but held, maintained, managed and administered as separate trusts under this Trust, but for each, and assuming the other spouse is deceased. If we chose to live apart voluntarily, rather than to divorce, then this provision shall also apply. In either case, the Trustee of this Trust shall separate and deliver to the trustees of our new respective separate trusts: (i) all separate property transferred by a respective Settlor to Trust and/or listed or held on a Separate or Individual Asset Schedule of such Settlor; and (ii) one-half (1/2) of all community property transferred to Trust by the Settlers and/or assets listed or held pursuant to our Joint Asset schedule.

G. Duplicate Originals and Counterparts

This Trust Agreement may be executed in a single document, or in any number of counterparts. Any person may rely on a copy of this Trust certified by the Trustee to be a true copy, to the same extent as though it was an original.



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H. Forced Heirship

In the event that any children or grandchildren of a Settlor are determined to be forced heirs at the time of death a Settlor and required by law to receive any portion of the Settlor's interest in the Trust Estate that is not otherwise provided for herein this Trust Agreement, and if such Settlor is married and such Settlor's Spouse survives the Settlor by thirty (30) days, then in that event, the Trustee shall distribute to such forced heir the minimum portion of the Settlor's interest in the Trust Estate that, when added to any lifetime gifts by Settlor and/or any gifts or distributions set forth hereinabove to or for the benefit of such forced heir, will equal the minimum amount necessary to satisfy the forced portion required by law, to be computed by the formula established by law in effect at the death of the Settlor, with each such forced portion subject to a lifetime usufruct in favor of, and which the Trustee shall distribute to, Settlor's Spouse. Settlor's Spouse shall not be required to provide bond or any security whatsoever for the usufruct, and shall have the power of disposition over non-consumables as well as consumables. If any property subject to the usufruct, including non-consumables, should be sold or otherwise disposed of during the existence of the usufruct, then the usufruct shall not terminate but shall attach to the proceeds of such sale or other disposition.

In the event that any children or grandchildren of a Settlor are determined to be forced heirs at the time of death a Settlor and required by law to receive any portion of the Settlor's interest in the Trust Estate, and if Settlor's Spouse (if any) does not survive the Settlor by thirty (30) days, and if the said forced portion is not otherwise satisfied by gifts made during the lifetime of the Settlor or by the gifts of distributions set forth hereinabove this Trust Agreement to or for the benefit of such forced heir, then in that event, the Trustee shall distribute to such forced heir that portion of the Settlor's interest in the Trust Estate which when added to gifts made during such Settlor's lifetime and any other residual bequests or gifts set forth hereinabove will equal the minimum portion of my estate necessary to satisfy the forced portion required by law, to be computed by the formula established by law in effect at the death of the Settlor.

The Trustee shall have the power to elect, select and determine which asset or assets shall be used to satisfy the forced portion of any such forced heirs.

I. Headings of Articles, Sections, and Subsections

The headings of Articles, Sections, and Subsections used within this Trust Agreement are included solely for the convenience and reference of the reader. They have no significance in the interpretation or construction of this Trust Agreement. Any reference made to "this Article" or "this Section" shall refer to the article or section in which the reference is made. Any reference made to an "Article" of this Trust Agreement in any document shall refer to said "Article" hereunder.



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J. Incapacity or Disability

Except as otherwise provided in this Trust Agreement, any individual may be treated as legally incapacitated or disabled if:

1. the individual has disappeared or is absent for unexplained reasons, or the individual is being detained under duress where the individual is unable to effectively manage his or her property or financial affairs; or
2. the individual has been treated for a drug, alcohol, gambling, chemical or other dependency disorder; or
3. a person shall be deemed disabled if he or she meets the definition of disability under the Social Security Administration's definition or Louisiana's Workers' Compensation definition. A person shall be presumed disabled if he or she is receiving disability benefits under Social Security, a private insurance policy or Workers' Compensation.

Any determination of disability under this provision shall be made at the sole and absolute discretion of the Settlers or Trustee, as applicable, to any powers granted to them in regard to disability under this Trust Agreement.

K. Incompetency

Except as otherwise provided in this Trust Agreement, any individual may be treated as incompetent if:

1. the individual has been declared or adjudicated as such by a court of competent jurisdiction; or
2. a curator, guardian, conservator, or other personal representative of such individual's person or estate has been appointed by a court of competent jurisdiction; or
3. the individual has been certified as such in writing by at least two licensed physicians.

L. Internal Revenue Code and Treasury Regulations

References to the Internal Revenue Code ("Code") are to the Internal Revenue Code of 1986 (as amended), and any corresponding Treasury Regulations. References to the Treasury Regulations ("Regulations") are to the Treasury Regulations under the Internal Revenue Code. If a particular provision of the Code is renumbered, or the Code is superseded by a subsequent federal tax law, any reference is deemed made to the renumbered provision or corresponding provision of the subsequent law, unless to do so would clearly be contrary to our intent as



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expressed in this Trust Agreement. The same rule shall also apply to references to the Regulations.

M. Full Purpose Trustee

A Full Purpose Trustee is a Trustee appointed hereunder whose authority shall include all authority granted to a General Trustee under this Trust Agreement without limitation to accomplish any objective we have set forth.

N. Limited Purpose Trustee

A Limited Purpose Trustee is a Trustee appointed hereunder whose authority shall include all authority granted to a General Trustee under this Trust Agreement, but whose role shall be limited to the extent authorized by La. R.S. § 9:2114.1, as amended, to the purpose for which he or she is required to assist the acting Trustee to accomplish any objective we have set forth, which the Trustee would otherwise be unable to accomplish without the consent of an independent party.

O. Notices

Whenever this Trust Agreement calls for notice, notice shall be in writing and:

1. personally delivered, with proof of delivery; or
2. sent by certified mail, with return receipt requested; or
3. sent by commercial delivery service (Federal Express, UPS, etc.) with signature required; or
4. sent via electronic mail or other means, with verifiable proof of delivery and receipt.

Notices shall be sent to the last known address or location of the party requiring notice, unless otherwise stated. If the notice is personally delivered, notice shall be effective on the date delivered. If the notice is sent by certified mail, the notice shall be effective when the return receipt is received by the sending party (or, in the absence of a return receipt, on the date the return receipt would normally have been received). If notice is sent by commercial delivery service, the notice shall be effective when the letter/package is signed for. Notices sent by electronic mail or other verifiable means shall be effective on the date delivered and verified. If notice is sent to a minor or incapacitated individual, notice shall be given to the minor's parent, or the incapacitated individual's legal representative.



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P. Number and Gender

As used in this Trust Agreement, the masculine, feminine, and the neuter gender, and the singular and plural number, shall each be deemed to include the other when the context so indicates.

Q. Partial Invalidity Clause

If any provision of this Trust Agreement is void, invalid, or unenforceable, then the remaining provisions shall nevertheless be valid. If any trust herein established exceeds the longest permissible period, then it shall persist for the longest period permissible, and then terminate, and be distributed to the rightful beneficiaries hereunder at that time.

R. Powers are Personal

Each power and right granted to us or to a beneficiary under this Trust Agreement (including the power to exercise a power of appointment) is personal and may not be exercised by another, except that during such time that the power holder is unable to act, said powers and rights may be exercised by either: (a) the power holder's guardian or conservator acting by authority of a court of competent jurisdiction, or (b) the power holder's agent as granted by a properly executed durable power of attorney that specifically authorizes said agent to exercise such power or right.

S. Revocation

If at any time this Trust becomes irrevocable by its terms or by our act, this Trust Agreement may only be revoked in accordance with Louisiana law or any other rule of law either now or hereinafter enforced purporting to give any court or other person, persons, or parties the right to terminate or amend an irrevocable trust. If we are unable to act on our own behalf because of incompetence, we authorize any mandatory agent, or attorney-in-fact who we have appointed, the power to execute any revocation agreement on our behalf.

T. Severability

If any provision of this Trust Agreement is deemed to be invalid or unenforceable, it shall not affect the validity or enforceability of the other provisions hereunder. If a court determines that any provision is invalid, then the remaining provisions are to be interpreted in a manner as if the invalid provision had not been part of this Trust Agreement.

U. Situs of Trust

This trust is established pursuant to the provisions of the Louisiana Trust Code, particularly La. R.S. 9:1721, *et seq.*, as now written or hereafter amended. This Trust has been accepted by the Trustee and is to be administered in the State of Louisiana, and its validity, construction, and all rights hereunder are to be governed by the Laws of the State of Louisiana. However,



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the situs of the Trust Estate and governing law may be transferred from Louisiana to such other jurisdiction so designated by the Trustee to properly serve the beneficiary.

V. Spendthrift Clause

To the maximum extent permitted by Louisiana law, and particularly the “spendthrift” provisions of La. R.S. 9:2001, *et seq.*, and any and all future amendments thereto, which are expressly made applicable to this Trust, the Beneficiaries are prohibited from alienating or encumbering the whole or any part of his or her interest in the trust, voluntarily or involuntarily. The restraint shall in no way, however, prohibit the termination of the trust, in whole or in part, as provided in the preceding Article entitled General Trustee Provisions.

W. Waiver

Failure to enforce any provision of any trust created under this Trust Agreement at any given time shall not be deemed a waiver of said provision.

Section 8.02 Definitions

A. Blood Relative

"Blood Relative" includes the existing, legally adopted, or after-born child, grandchild, sibling, parent, aunt, uncle, niece, nephew, grandparent, cousin, and issue of any of the foregoing of an individual.

B. Child or Children

“Child” or “Children” includes existing and after-born children. In applying the provisions of this Trust Agreement, a legally adopted child, and his or her lineal descendants, are to be considered lineal descendants of the adoptive parent and that parent’s lineal descendants.

C. Divorce

Notwithstanding any other provisions to the contrary, if our marriage ends by a divorce, dissolution, or annulment, or if we are separated, or have lived apart from each other for twelve months or more (unless the reason we lived apart was to assist other family members, was related to a medical condition, was due to military service, or was job related, or the like), then any and all rights retained by us as Settlers jointly or specific to each spouse, shall inure to each of us individually, but held, maintained, managed and administered as separate trusts under this Trust, but for each, and assuming the other spouse is deceased. If we chose to live apart voluntarily, rather than to divorce, then this provision shall also apply. In either case, the Trustee of this Trust shall separate and deliver to the trustees of our new respective separate trusts, one half of the assets listed or held pursuant to our Joint Asset schedule.



David & Judith Deal Living Trust

D. Education

"Education" is intended to be an ascertainable standard in accordance with Code Sections 2041 and 2514, and shall include, but not be limited to, enrollment at a private elementary, junior, or senior high school including boarding school; undergraduate and graduate study in any field at a college or university; specialized, vocational, or professional training or instruction at any institution, including private instruction; and any other curriculum or activity the Trustee may deem useful for developing the abilities and interests of a beneficiary, including (without limitation) athletic training, musical instruction, theatrical training, the arts, and travel.

"Education" shall also include distributions made by the Trustee for expenses such as tuition, room and board, fees, books and supplies, tutoring and transportation, and a reasonable allowance for living expenses.

E. Family Member

"Family Member" as used in this Trust Agreement, shall include the relatives of the Settlor(s), by blood or adoption.

F. Residuary Trust Principal Beneficiaries

A Residuary Trust Beneficiary is the individual(s) or entity(ies) who, after payment of any lifetime trust distributions and the payment of any specific bequests provided for in this Trust Agreement, shall upon the death of the Settlor(s) receive and share the deceased Settlor(s)' remaining interest in the principal of the Trust to the extent and as more particularly set forth in the preceding Articles.

G. Special Bequest.

A special bequest refers to any gift or donation given to a particular recipient by reason of the Settlor(s)' death, whether outright or in trust.

H. Spouse

Unless otherwise specified, the term "Spouse" as used throughout this Trust Agreement shall be deemed to refer to the person to whom an individual is married and with whom the individual is living as husband or wife when such person would, from time to time and pursuant to the terms of this Trust Agreement, become entitled to any benefit hereunder and with whom the individual is living as husband or wife at the time of his or her death.

[REMAINDER OF PAGE LEFT BLANK INTENTIONALLY]

[SIGNATURES ON FOLLOWING PAGES]



David & Judith Deal Living Trust

IN WITNESS WHEREOF, we have hereunto set our hand and seal on this ____ day of _____, _____.

WITNESSES:

Printed: _____

DAVID LAMAR DEAL, Settlor and Trustee

Printed: _____

JUDITH MARTIN DEAL, Settlor and Trustee

STATE OF LOUISIANA)

) ss.

PARISH OF _____)

On this ____ day of _____, _____, before me, the undersigned, a Notary Public in and for said state, and the above signed competent witnesses, personally appeared **DAVID LAMAR DEAL** and **JUDITH MARTIN DEAL** as Settlers and as Trustees, personally known to me or proved to me on the basis of satisfactory evidence to be the persons whose names are subscribed to the within instrument, and acknowledged to me that they executed the same in their capacity and that by their signature on the instrument, the person or the entity upon behalf of which the person acted, executed the instrument.

Witness my hand and official seal.

NOTARY PUBLIC

Printed Name: _____

Notary / Bar Roll Number: _____

_____, _____ County/Parish, _____

My Commission expires: _____

Document prepared by David Lamar Deal and Judith Martin Deal
Through GeauxPlans.com, L.L.C.
Phone: (855) 213-6400
Fax: (855) 777-0039
Web: GeauxPlans.com



David & Judith Deal Living Trust

Schedule A

Ten and No/100 (\$10.00) Dollars